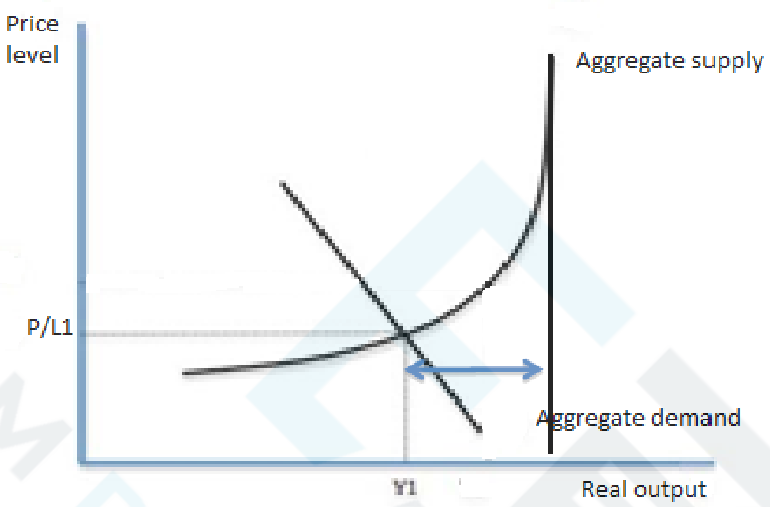
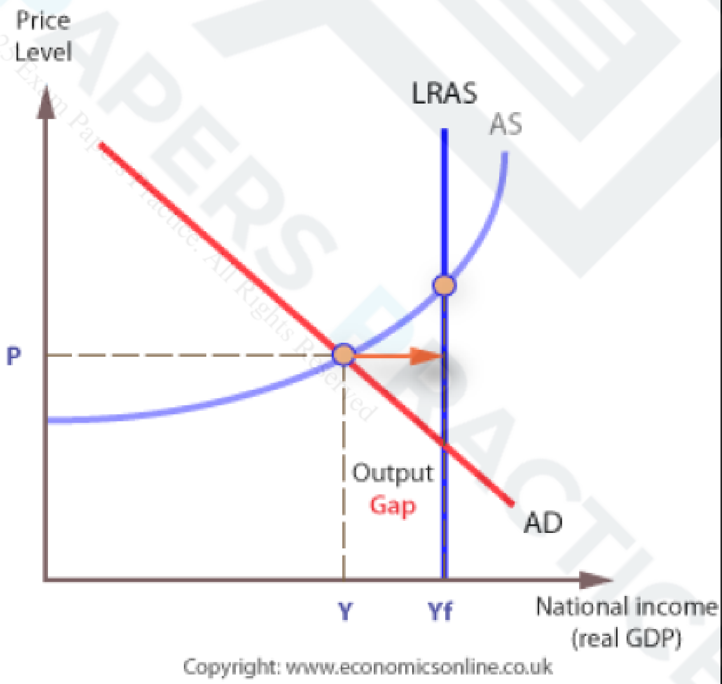
EXAM PAPERS PRACTICE

Mark Scheme

Q1.

Question Number	Answer	Mark
(a)	B	**(1)**

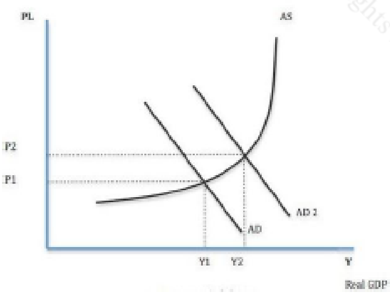
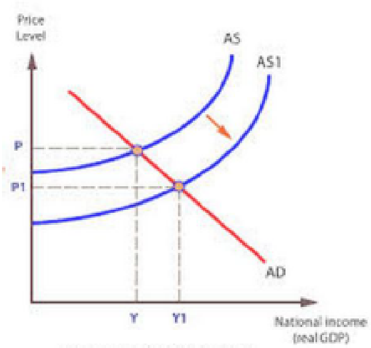
Question Number	Answer	Mark
(b)	**Knowledge 2** **Knowledge/understanding** 1 mark for definition of GDP e.g. • Value of the total output (1) • Accept amount of final goods and services (1) • Total income / total expenditure (1) 1 mark for definition of real e.g. • Taking inflation into account (1) • Adjusted for changes in the price level (1)	**(2)**

Question Number	Answer	Mark
(c)	**Knowledge 1** Output Gap Identification of a negative output gap on the diagram, either of those illustrated by the annotations below are acceptable (N.B. only ONE is required)  	(1)

Q2.

Question Number	Answer	Mark
	Knowledge 2 **Knowledge/understanding** 1 mark for partial definition, e.g. • Making a comparison between countries. 2 marks for full and accurate definition, e.g. • The rate at which the currency of one country would have to be converted into that of another country to buy the same amount of goods and services in each country • Comparison between countries, taking into account different cost of living.	**(2)**

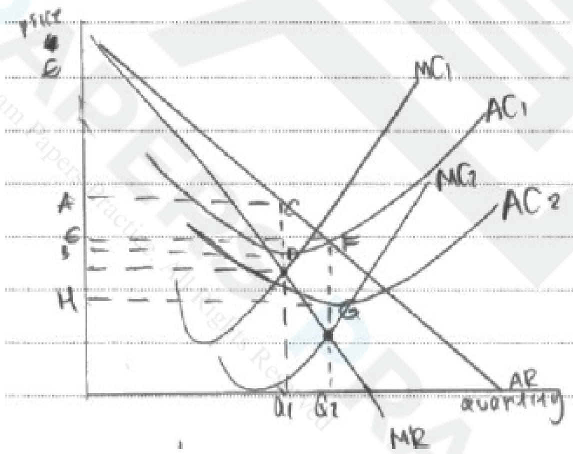
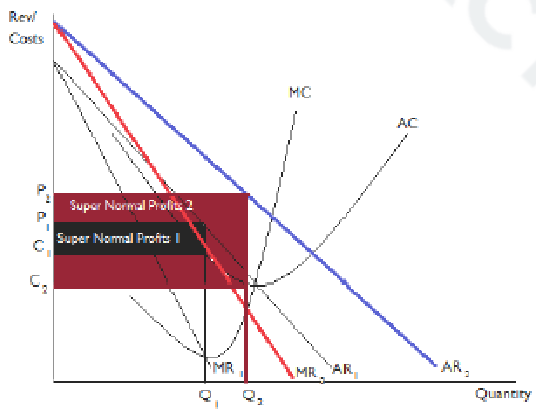
Question Number	Answer	Mark
	A	**(1)**

Question Number	Answer	Mark
	Knowledge 1 New AD curve (shifts to the right) and a new equilibrium at Y2 (1)  OR New AS curve (shifts to the right) and a new equilibrium is found at Y1 (1) 	**(1)**

Q3.

Question Number	Indicative content	Mark
(a)	**Knowledge 2, Application 2, Analysis 1** **Knowledge and analysis:** 3 marks. Points might include: • Explanation that national debt is the accumulation of pas fiscal deficits (may be implicit) • National debt interest payments have an opportunity cost in terms of current spending • It may be harder to raise borrowing in the future • In case of a debt crisis, it might be impossible to raise new credit • Also could argue that increased debt worsens the fiscal deficit through debt repayments • 'Jam today not jam tomorrow' or similar idea that it's today's benefits paid for in the future **Application (2 marks for 1 point, or 1 + 1)** Award valid data use only e.g. • Reference to data in Figure 2 e.g. ratio falls (1) to 60% in 2019 (1) • Fig 2: debt is falling as a percentage of GDP which is either because there is a fiscal surplus (Fig 1) or because there is economic growth (Fig 3) • Use of other data, e.g. to keep surplus, 1.9% Fig 1 or Ext C • Want to stay the largest economy in the EU. Data from any of the sources can be credited, if relevant, not just Figure 2. • Maintain independence by not having to borrow	**(5)**

Question Number	Indicative content	Mark
(b)	**Knowledge 2, Application 2, Analysis 2 Evaluation 2** **Knowledge/implicit understanding of two effects (1 + 1) e.g.** • Consumers demand falls • Firms may pay lower wages • Lower labour turnover • Easier to recruit staff • Reduction in skills, efficiency • Deterioration of public sector finances further reducing spending on infrastructure **Application:** (2 marks for any relevant point, or two points 1 +1): e.g. • Unemployment is forecast to rise (1) to 6.1 percent from 5 percent (1) / 1.1 percentage points (2) • This comes after several years of a declining rate of unemployment (1) **Analysis** (1+1) • Development of points made **Evaluation** (2 marks for any relevant point, or two points 1 +1): e.g. • Demand might rise for inferior goods • Wages may be sticky downwards • This is only a forecast and given events at the beginning of 2020 might end up worse. • Firms exporting goods may not be affected as demand from abroad may remain strong if unemployment does not fall there • The rise in unemployment is small and is still below 11.7% 2005. So, the impact will be relatively small	**(8)**

Question Number	Indicative content	Mark
2(c)	**Knowledge 2, Application 2, Analysis 4** **Knowledge and analysis** • Might mean costs rise in the short run and/or • Costs fall in the long term – fixed or variable • Demand for products might increase as firms improve product quality and choice **Application** • Some firms in Germany are expecting higher long-term profits from the investment (Extract C) • Germany still far behind other countries in the area of technology especially broadband (Extract C) **Analysis** Example of diagram (can use AC or ATC or not shift MC)):	
	  **NB for a level 3 response there must be at least one valid diagram. The diagram can show either a rise in AR/MR or a fall in costs, or both.**	(8)

Knowledge, application and analysis		
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	3–5	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	6–8	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(c) continued	**Evaluation 4** • Discussion of whether costs would rise (short term) or fall if successful (long term) • It depends on how labour intensive the production is • It depends on what competitor countries are doing • New technology needs highly skilled labour and cannot be discussed in isolation	**(4)**

Evaluation		
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Question Number	Indicative content	Mark
(d)	**Knowledge 4, Application 4, Analysis 8, Evaluation 9** Microeconomic factors to explain low growth may include: • Labour force factors e.g. changing NMW will affect ULCs and therefore growth • Increased level capital by making investment more profitable/subsidy • Infrastructure spending e.g. schools crumbling, poor internet • Investment in education/skills or cutting/capping university fees • Low level of willingness to embrace modern technologies Macroeconomic influences may include: • Population changes • Trade liberalisation – may refer to tariffs or trade agreements to improve price competitiveness, changes in EU • Tax and benefit changes • Government policy improvements, e.g. weak expansion in fiscal policy, cut interest rates, subsidies, privatisation • Actions of other institutions e.g. banks, schools • Control of price level e.g. stop QE • Competitiveness – use of Extract D **NB some points such as regulation, supply-side policies, changing the interest rate, can be regarded as micro or macroeconomics**	
	NB for a Level 4 response there must be reference to Germany in context Possible evaluation points include: • Degree to which the factors might be a success • Depends on other countries (relative competitiveness issue) – it could be that other countries have a comparative or absolute advantage/other trade pattern and trade bloc arguments • Depends on the value of the euro/ other currency of trading partners which cannot be directly controlled in Germany • Germany might be better protected from worldwide crises such as the recent Global Health Crisis • Growth is not the only desirable economic outcome (it might be argued that slower growth is better)	**(25)**

Knowledge, application and analysis		
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1 - 4	Displays ability to apply knowledge in context but will focus on small range of elements. Demonstrates understanding by identifying relevant information. Demonstrates knowledge and understanding of terms, concepts, theories and models.
Level 2	5 - 8	Shows ability to apply economic ideas and relate them to economic problems in context. Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis.
Level 3	9 - 12	Analysis is clear and coherent with evidence well integrated, although may focus on some of the broad elements of the question more than others. Shows ability to apply economic ideas and relate them directly to the broad elements in the question.
Level 4	13 - 16	Analysis is relevant, clear and coherent with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic effects. A clear understanding of economic principles, concepts, theories and arguments.

Evaluation		
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of evaluative comments without explanation.
Level 2	4–6	Evaluative comments with limited explanations. Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.
Level 3	7–9	Evaluative comments supported by relevant reasoning and appropriate reference to the context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Question Number	Indicative content	Mark
(e)	**Knowledge 4, Application 4, Analysis 8, Evaluation 9** Microeconomic effects may include: • Employment improves or unemployment stops rising • Incomes rise/stop falling • Increased profits for firms e.g. motor manufacturers • Other micro effects of increased spending and welfare e.g. improved health service • Infrastructure improves if spending on this area • Higher taxes in future might have an impact on demand and other aspects of consumer behaviour Macroeconomic effects may include: • AD increases • multiplier • Shift in SRAS or LRAS might be drawn e.g. capacity increases • Increase in price level/output • increase in borrowing – cost for future generations • Diagrams might involve an increase in AD with multiplier effects • Increased debt payments in the future – opportunity cost arguments may be used **NB for a Level 4 answer there must be reference to the German fiscal policy. Some effects such as lower costs or increased investment could be seen as micro or macro** **NB for a Level 4 response there must be reference to Germany**	

	Possible evaluation points include: • Depends on Classical vs Keynesian shape of AS • Depends on size of multiplier • Depends on the cost of borrowing – currently very low • Impact on money markets and conflict with other policies • Opportunity cost arguments • Reference to budget deficit and national debt • Confidence in the markets and consumers in the fiscal policy will determine whether or not it is effective • Will interest rates remain low? • An essential action in the recent context, and without stimulus many incomes and businesses would be lost	**(25)**

Knowledge, application and analysis		
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays ability to apply knowledge in context but will focus on small range of elements. Demonstrates understanding by identifying relevant information. Demonstrates knowledge and understanding of terms, concepts, theories and models.
Level 2	5–8	Shows ability to apply economic ideas and relate them to economic problems in context. Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis.
Level 3	9–12	Analysis is clear and coherent with evidence well integrated, although may focus on some of the broad elements of the question more than others. Shows ability to apply economic ideas and relate them directly to the broad elements in the question.
Level 4	13 - 16	Analysis is relevant, clear and coherent with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic effects. A clear understanding of economic principles, concepts, theories and arguments.

Evaluation		
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of evaluative comments without explanation.
Level 2	4 – 6	Evaluative comments with limited explanations. Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.
Level 3	7 – 9	Evaluative comments supported by relevant reasoning and appropriate reference to the context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Q4.

Question Number	Answer	Mark
(a)	**Application 2** (128.2 – 128.4) / 128.4) X 100 or correct formula (1) = (-)0.15% Accept range (-)0.15 to (-)0.2 NB 2 marks for correct answer.	**(2)**

Question Number	Answer	Mark
(b)	**Knowledge 1** **Knowledge/understanding** 1 mark for definition of deflation e.g. • A decrease in the general level of prices (1) • Negative change in average prices (1) • Negative inflation / inflation below zero (1)	**(1)**

Question Number	Answer	Mark
(c)	A	**(1)**

Q5.

Question Number	Answer	Mark
(a)	**Knowledge 2, Application 2, Analysis 1** **Knowledge and analysis (3):** • Definition of opportunity cost as the next best alternative foregone (1) • Governments have to pay interest (1) at the expense of other expenditure (1) • Servicing means paying back interest and minimum capital requirements (1) e.g. to prevent a default, loss of confidence, other repercussions (1) • The debt is external (1), and in this case owed by governments as they have been borrowing from abroad (1) • Use of PPF to show opportunity cost may be awarded as analysis (1) **Application (2 marks for 1 point, or 1 + 1)**: e.g. • Debt service payments above 20% of G (1) are unsustainable (Extract D) (1) • £20billion raised 2010-2015 (Extract D) (1) • Commodity prices soaring and foreign loans available' (Extract D) (1) • 'Heavy repayment schedules at a time of low commodity prices' (Extract D) (1) • Governments have taken to 'private debt too eagerly' (Extract D) (1) • 'Median level of debt risen from 34% to 48% in 2017' (Extract D) (1) is heavy because of 'low tax base' (Extract D) (1) • High levels of poverty – half of the 26 million people (1), so many feel the effects of reduced government expenditure (Extract E) (1) • 'non-existent tuna fleet' or other hidden debt (Extract D) or corruption (1) at the expense of other government spending (1) • Opportunity costs applied to any developing country, e.g. spending on poverty alleviation, education and health spending or recent cyclone April 2019 (1). **Award a maximum of 1 application mark if there is no reference to Extract D**	**(5)**

Question Number	Answer	Mark
(b)	**Knowledge 2, Application 2, Analysis 2, Evaluation 2** **Knowledge**/implicit understanding of **two** reasons why manufacturing firms stay small, **(1+1)** e.g. • Size of market/lack of access to export markets/low export earnings due to lack of demand • Absence of economies of scale, or insufficient incentive or ability to grow (apart from access to financial) • Problems of human capital, e.g. lack of educated workforce • Lack of infrastructure making expansion into new areas difficult, or small markets • Actions of foreign firms to foster dependency • Government or international actions to make it hard for firms to grow • Lack of TNC involvement in Mozambique/volatility of currency/capital flight • Firms want to remain close to customers- meet needs with specific goods. • Firms might be manufacturing niche products with inelastic demand and high-income elasticity • Small firms more able to manufacture and sell through selling online and have small assets. • Perfect / monopolistic competition characteristics, e.g. low barriers to entry • Non-economic factors, e.g. natural disasters, political tensions, drought • Cost of finance, cost of servicing loans, financial economies of scale and scope. Do not allow **access** to finance.	

	Application (1+1 or 2): e.g. • Further depreciation of the metical (Extract E) • Lack of economic stability (Extract E line 26) • Slowdown in FDI (Extract E) • Depressed global demand (Extract E) • Low levels of employment in the sector (Extract E) may imply lack of skilled workers • High interest rates (Fig. 2 and Extract E line 14) • High import costs (Extract E line 15) • Needs urgently to improve its investment environment and confidence (Extract E line 17) • Large scale emigration (Extract E) • High numbers of people 'below the poverty line' (Extract E line 6) mean the market/incomes are small • 'Economic dependence on South Africa' (Extract E) may limit prices/market power of firms.	

	Analysis (1+1) • Development of each point, up to 1 mark for each valid factor **Evaluation** (2 marks for any relevant point, two points 1+1): • The development of the gas fields (Extract E) will 'transform the economy' • Pick up in coal and electricity (Extract E) which are probably larger firms and may have impact on manufacturing • may consider whether this is because of choice or lack of opportunity • Long term 'prospects are promising' (Extract E, line 20) e.g. sustainable agreement, gas fields production in 2020s or other initiatives such as trade blocs **NB Cost of finance, financial economies of scale etc are allowed. It is only ACCESS to finance e.g. unavailability of microfinance, savings gap, loss of external lenders which is excluded.** **NB Access to finance *may* be credited as part of the evaluation but not as KAA**	**(8)**

Question Number	Indicative content	Mark
(c)	**Knowledge 2, Application 2, Analysis 4** • Microfinance meaning and role • Plugs the savings gap / Harrod-Domar model • Enables firms to be set up – fixed or start-up costs • enables firms to invest in human capital and overcome primary product dependency • Use of Figure 3 to illustrate size and importance of microfinance operations • Use of Extract F – e.g. '100 000 borrowers', many new business start-ups which could not have gained finance from any other source', 'unfulfilled demand for microfinance' • How borrowers benefit – small firms can be set up or expanded, allowing firms to gain capital and materials to set up businesses, provide more employment, lead to improved living standards • Borrowers lack collateral so cannot borrow from banks in the normal way • The money is in small amounts £200 to £300, paid back regularly and over a short period of time, on which basis the firm forms a business plan for which the lender will approve or advise • Microfinance allows firms to form without the stigma of aid or the dependence of FDI • Use of cost/revenue analysis to support arguments (perfect/monopolistic competitive market) • Macro analysis (AD/AS) must link back to borrowers, e.g. increased standard of living, allows firms to expand/invest **NB For Level 3, answers must link to borrowers** **NB The answer can take the form that there are more costs than benefits as part of the KAA, using the benefits as the evaluation**	**(8)**

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	3–5	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	6–8	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(c) continued	**Evaluation 4** • Use of Figure 2 to show high base rates and Figure 3 to show average 75% APR on microfinance • Large potential for expansion (Extract F) • May encounter lack of demand as more than half of the population live below the poverty line • Weak infrastructure does not allow borrowers to access markets • Alternatives to microfinance could be considered, e.g. aid, FDI, debt relief • Reasons why microfinance can be damaging to borrowers, e.g. pressure on women (98% of borrowers), over-indebtedness, poor guidance given to borrowers, macro-finance is needed for economies of scale, people borrowing multiple times, for uses which are social not business orientated. • Large numbers of people setting up similar businesses/highly competitive e.g. food stalls, so profits tend to be low/need for dynamic efficiency • Funds from private banks very different from NGOs – banks might be more cautious, and therefore more likely to succeed, might be better advice, support from specialists, softer terms from either institution might lead to moral hazard	**(4)**

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Question Number	Indicative content	Mark
(d)	**Knowledge 4, Application 4, Analysis 8, Evaluation 9** Microeconomic influences may include: • Labour force and other demographic factors e.g. emigration of skilled/educated workers, disease, low life expectancy • Small firms with low levels of capital • Low levels of personal saving/high levels of personal debt • Primary product dependency • Volatility of commodity prices • Debt – although do not award access to credit and banking. Allow arguments based on dependency or opportunity cost, for example • Lack of infrastructure/other capital • Absence of property rights • Non-economic factors e.g. natural disasters, social problems • Joint ventures with global companies Macroeconomic influences may include: • Trade liberalisation – may refer to tariffs or trade agreements • Role of FDI e.g. the tuna fleet cover-up dries up FDI • Government policy failure, e.g. weak expansion in fiscal policy, high interest rates, lack of subsidies, privatisation, interventionist strategies, e.g. management of exchange rate, buffer stocks • Actions of other international institutions e.g. IMF or NGOs • Macroeconomic stability, e.g. rate of inflation (might refer to Figure 2), rate of economic growth, exchange rate (metical at a 'new low')	

	Possible evaluation points include: • Degree to which the factors are inevitable • Signs of improvements in passages • Some factors are temporary, e.g. fall in commodity prices such as coal and drought affecting production and exports to other countries within Africa **NB Do not award KAA for arguments based on ACCESS TO credit and banking, although this approach is permitted as part of the evaluation** **NB for a Level 4 response there must be micro and macro factors (s). There must be reference to both growth and development for Level 4**	

	PPD/ Harrod-Domar/ debt/ aid/ debt relief/ cost of credit/ non-economic factors/currency issues / competitiveness index can be used as micro or macro.	**(25)**

Knowledge, application and analysis		
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	5–8	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
Level 3	9–12	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	13–16	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic factors. The answer demonstrates logical and coherent chains of reasoning.

Evaluation		
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	4–6	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning.
Level 3	7–9	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Question Number	Indicative content	Mark
(e)	**Knowledge 4, Application 4, Analysis 8 Evaluation 9** Microeconomic effects may include: • On people with debt (better off) and savings (worse off) • On people with fixed incomes – may refer to falling real incomes • On firms' profits, e.g. that face rising costs and if they cannot raise prices they will face falling profits, or falling sales as consumers delay purchases. This might be illustrated with cost/revenue diagrams. • On firms' costs if they face rises in interest rates as a policy corollary of high inflation, which might lead to lower profits. This might be illustrated with cost/revenue diagrams. • Opportunity cost, e.g. effects on a government's spending if costs of servicing debts fall • Effect on labour markets e.g. people might work more hours to cover increased cost of living **NB do not award fall in profits or revenue or rise in costs unless a valid chain of reasoning is given** Macroeconomic effects may include: • International competitiveness and balance of payments, between African countries and with the rest of the world. Exports likely to fall and imports likely to rise • Distribution of income and wealth • Confidence and investment in financial markets • Policy responses, e.g. rises in interest rates and effects on AD • Shift in AS and/or AD may be used as part of the analysis • High inflation might deter Investment and FDI	

	NB do not award rise in unemployment/fall in growth unless a valid chain of reasoning is given Possible evaluation points include that the effect depends on: • Whether wages rise in line with inflation • The degree of inflation, and the policy and international responses. • The PED of countries buying the African exports • The PED of importing countries as imports become relatively cheap	
	• Whether African countries are trading with each other the effects of inflation may be cancelled out e.g. use of Figure 2 to show neighbouring countries with higher inflation rates • Whether asset prices rise as to the redistributive impact • Depends on whether this is a long-term inflation problem- could be short term e.g. linked to commodity price rises. Only a problem if it is sustained. • The figures are in one month in July 2017 and may not reflect inflation story for full year. Time series data may be more useful. • Depends on the type of inflation – e.g. cost push or demand pull. • Impact on exchange rates e.g. higher inflation may erode the value of the currency. This might cancel out the impact on competitiveness **NB for a Level 4 answer there must be reference to the context of African countries (not just one)** **NB for a Level 4 response there must be micro and macro effect (s). Costs/ shift in PPF/ currency/labour markets/competitiveness etc. can be used as micro or macro.**	**(25)**

Knowledge, application and analysis		
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
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Evaluation		
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	4–6	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning.
Level 3	7–9	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Q6.

Question Number	Answer	Mark
(a)	**Knowledge 1** **Knowledge:** 1 mark for definition, e.g. • Not adjusted for inflation (1) • Figures at current prices/market value (1)	**(1)**

Question Number	Answer	Mark
(b)	**The only correct answer is B** **A** is not correct because this figure is the index number for 2016 using 2018 as the base year **C** is not correct because this figure is the index number for 2017 using 2016 as the base year **D** is not correct because this figure is the index number for 2018 using 2016 as the base year	**(1)**

Question Number	Answer	Mark
(c)	**Application 2** **Application:** 1 mark for appropriate calculation, e.g. 2 061 408 / 66.4 (1) Answer = **£31 045.30** Allow **31 045 / £31 000** • Award 2 marks for correct answer (£31 045.30 / £31 045 / £31 000) • If million is given after the answer, then award up to 1 mark	**(2)**

Q7.

Question Number	Indicative content	Mark
	Knowledge 4, Application 4, Analysis 8, Evaluation 9 Likely impacts include: • UK exports are now cheaper when priced in dollars, so should mean an improvement in UK price competitiveness leading to increased demand for UK exports and AD *However depends on quality of UK exports or if US firms/consumers demand what we are producing* • UK imports from the US are now more expensive so likely to lead to less demand for US imports which improves net trade and therefore AD *However, depends if there are domestic alternatives to the US imports. If not prices will simply rise* • Imported inflation: as prices of imports rise, particularly of necessities, then UK inflation will increase. • Lower exchange rate might attract inward investment with multiplier effects on AD • Other factors which cause growth might be considered as more than one factor • Diagrammatic analysis may be used (e.g. AD/AS) Other evaluative comments may include e.g.: • Imported inflation will be a particular problem if wages do not increase in line with inflation. • Depends if this is a temporary fall or a permanent adjustment to the exchange rate • Depends on UK exchange rate with other currencies as well • US is a significant trade partner for the UK so the impact is likely to be significant • Consideration of the Marshall-Lerner condition and J curve effect • Other factors which cause growth might be considered as evaluative comments • EU is a very significant trading partner for the UK and thus the impact is likely to be significant	**(25)**

Knowledge, application and analysis		
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	5–8	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
Level 3	9–12	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	13–16	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Evaluation		
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	4–6	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	7–9	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Q8.

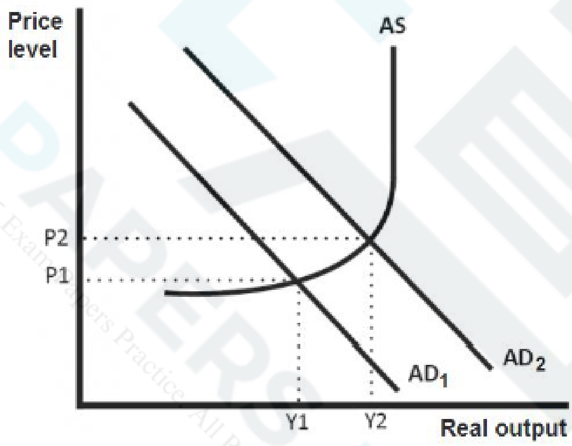
Question Number	Answer	Mark
(a)	**Knowledge 2, Application 2** **Knowledge/understanding** Identification of one reason (1) with development (1), e.g. • Different reasons for collection/different methods of collection: imply different results • It is becoming much more difficult to claim unemployment related benefits e.g. changes in the level of savings making it difficult to claim unemployment related benefits • Stigma issues when people are unemployed with no stigma for ILO but high stigma for unemployment related benefits • Increase in frictional unemployment which would increase ILO but may show no change in unemployment related benefits • State of the economy where more vacancies in a boom so harder to claim unemployment related benefits **Application** 2 marks for two data references from Figure 1 (1+1), e.g. Between 2010 and 2016: • Claimant count is below ILO (1) • Claimant count fell by around 48% / 0.7m (1) • ILO unemployment fell by around 35% / 0.9m (1) • In 2010, ILO unemployment was 2.5m (1) and CC unemployment was 1.5m (1)	**(4)**

<table>
<tr><th>Question Number</th><th>Indicative content</th><th>Mark</th></tr>
<tr><td>(b)</td><td>
Knowledge 2, Application 2, Analysis 2

Rise in value of houses will lead to wealth effect
An increase in householder's confidence
Encourage households to consume more (and/or save less)
Aggregate demand (AD) will increase
Lead to an increase in real output or a faster rate of economic growth
Credit for discussion of other effects besides wealth effect, e.g. impact on:

Balance of Payments
Unemployment
Budget deficit
Price level

Increase in investment from the construction industry
Diagram e.g.



"£24 000 more than it was" / "annual growth increased from 5.2% in July 2016 to 5.6% in August 2016" / Data reference to Figure 1 data

NB Candidates have to show impacts with accurate AD/AS diagram presenting a relevant change in AD to access Level 3

NB Benefits to rising house prices can be seen as KAA and negative effect as Evaluation, or vice versa
</td><td>(6)</td></tr>
</table>

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no link between causes and consequences.
Level 2	3–4	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	5–6	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are applied appropriately to the broad elements of the question.

Question Number	Indicative content	Mark
(b) continued	**Evaluation 4** • Houses are a significant component of consumers' wealth and effect large proportion of households (65% owner occupied) in the UK, which will have a major effect on AD • SR vs LR – "house prices will fall 1% across the UK in 2017" / wealth effects take time to trigger spending changes • Regional differences in impact – "House price growth was strongest in London" • "home ownership has risen to 78.6% among those aged 65-to-74" – it may not raise AD / consumption • Discussion of the significance of falling real wages • Significance of the elasticity of the AS curve • Consumption is approximately 2/3 of aggregate demand which implies a strong inter-relationship • Lower confidence for areas where it will be harder to move to find jobs, because of price differentials • Effect on first-time buyers – may lead to their consumption falling (discussion of real wages and home ownership)	**(4)**

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/ reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by chains of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

Question Number	Answer	Mark
(c)	**Knowledge 1, Application 2, Analysis 2** **Knowledge/understanding** 1 mark for identification, e.g. • Income (1) • Interest rates (1) • Unemployment (1) • Consumer confidence (1) **Application** 2 marks for data reference (1+1), e.g. • real incomes in the UK have fallen (1) by 10.4% (1) • unemployment fell (1) according to ILO and CC (1) • savings ratio has fallen (1) between 2010 and 2015 (1) • Britain's vote to leave the EU – Extract A Line 6 (1) **Analysis** Linked development (1+1), e.g. • Fall in income is likely to reduce savings leading to a fall in the marginal propensity to save • Lower unemployment is likely to cause a rise in consumer spending due to greater disposable incomes, leading to fall in savings ratio	**(5)**

Question Number	Answer	Mark
(d)	**Knowledge 2, Application 2, Analysis 2** **Knowledge/understanding** 2 marks for, e.g. • Definition/understanding of the multiplier (1) • Identification of factors which can cause the multiplier to rise (1+1) **Application** 1 mark for each data reference from Figure 2 or linked application (1+1), e.g. • savings ratio decreased from 11.5% in Q1 of 2010 (1) • to approximately 5.7% in Q1 of 2016 (1) • Use of multiplier formula (2) • application by means of simple numerical example (up to 2 marks) **Analysis** 1 mark for linked development of each factor (1+1), e.g. • A fall in withdrawals from circular flow of income will lead to a rise in the value of the multiplier (1) • An increase in mpc will cause the value of the multiplier to rise (1)	**(6)**

Question Number	Indicative content	Mark
(e)	**Knowledge 3, Application 3, Analysis 3** Effects for employment: • "Work remains the most common reason for long-term migration (312 000)" – this is most likely to lead to an increase in employment • "182 000 of these coming with a definite job" – these migrants could fill those vacancies that cannot be filled by indigenous workers • Increased size of population means that there is increase in supply of labour, thus reducing wage rate and increasing demand for labour • Increased consumer spending from an increased population means more jobs are created • Increased demand for public services creating an increased demand for public sector workers Effects for unemployment: • "130 000 looking for work" – these migrants could displace the current indigenous workers • "10 547 people granted asylum" / 80 000 family members – surplus labour in the market as they might attempt to join the labour market but with inappropriate skills **NB Answer must refer to both *employment and unemployment* to access Level 3**	**(9)**

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	7–9	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(e) continued	**Evaluation 6** Points may include: • Magnitude and the significance of net migration – the figures on emigration have not been provided • "Long-term migration to the UK for study was estimated to be 163 000" – so may only be short-term migrants; also it is not sure they will remain in the UK after study • If the UK economy starts to grow, it can take on more labour without increasing unemployment • Evidence might be inaccurate, e.g. reason for migration is a very loaded question/inadequate data – it does not indicate if there has been an increase or decrease in the figures shown • Depends on the skills of migrants • "Dependents" may or may not have an effect • Depends on the percentage of asylum seekers granted leave to remain (Extract B) • Different industries may be affected differently	**(6)**

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant chain of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

Question Number	Indicative content	Mark
(f)	**Knowledge 4, Application 4, Analysis 6** • Understanding / identification of government policies as fiscal policy or supply-side policy • Relevant diagram, e.g. AD/AS diagram showing rightward shift in AD and/or AS curve • Investment in education and training to provide a more skilled workforce through increases in the level of human capital • Changes in minimum wage to incentivise employment • Reduction in unemployment and associated benefits to increase incentive to find work • Grants/subsidies/tax breaks to firms • Reduction in tax rates to encourage firms to expand or set up in UK, therefore increasing employment • Reduction in income tax creating a much larger incentive to work, increasing consumption and therefore, employment • Policies to increase real wage flexibility e.g. helping to reduce real wage unemployment • Tax breaks to firms who set up in depressed areas / giving some financial assistance to unemployed workers who move to areas with high employment • Government improving the labour market flexibility by making it easier to hire and fire workers may encourage more job creation • Increase in the provision of free childcare and other measures to increase the activity rate **NB Answer must be linked to *government* policies to access Level 3 or above.** **NB Answer must be linked to *employment* to access Level 3 or above.**	**(14)**

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two-stage chain of reasoning only.
Level 3	7–10	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	11–14	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(f) continued	**Evaluation 6** • Magnitude of the policy change • Conflicts between the policies • Depends if there is spare capacity • Creditworthiness of the UK government • Conflicts with other UK economic objectives • Discussion of effectiveness of individual policies • External factors beyond UK government's control, e.g. slowdown in global economy • Time lags (for e.g. education takes a long time to have impact on productivity)/implementation lags Government's budget deficit makes it difficult to pay for large investments or offer significant grants/tax breaks	**(6)**

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

<table>
<tr><th>Question Number</th><th>Indicative content</th><th>Mark</th></tr>
<tr><td>(g)</td><td>Knowledge 4, Application 4, Analysis 6,
Implicit or explicit identification of the various UK's macroeconomic objectives
Understanding of inflation
May reduce growth owing to costs of inflation
Reduction in purchasing power and real incomes
Equality e.g. effect on those who have fixed incomes (are not protected by inflation) who are often the poorest
May make the national debt smaller in real terms making it cheaper to finance and pay back
Reduction in competitiveness of British goods which worsens the current account of the balance of payments deficit and reduces international competitiveness
Unemployment may rise through increased levels of inefficiency and stagflation / using a Phillips curve
Higher inflation associated with increasing AD may have detrimental impact on environment
Possible beneficial effect on the environment as economic growth slows
Loss of both business and consumer confidence
The self-reinforcing effect on inflation through expectations: higher inflation as consumers get used to higher levels of inflation, they demand high wages to protect buying power of incomes
NB KAA can be awarded for positive impacts on the objectives and evaluation as the negative impacts or vice versa</td><td>(14)</td></tr>
</table>

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
Level 3	7–10	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	11–14	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(g) continued	**Evaluation 6** • Depends on the cause, (e.g. cost push or demand pull) duration and magnitude of inflation – may be discussed in recent context of the UK / using AD AS diagram • Inflation might not translate through to higher wages and unemployment if the workforce has little power • If growth is low, slightly higher inflation is worth the risk to avoid deflation or depression • Impact depends on the relative inflation rates • Impact of high inflation might depend on policy response - interest rates may have to be raised • Other factors may have a larger effect: exchange rates or other macro objectives (ceteris paribus) • Possible beneficial effect on the environment	**(6)**

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Q9.

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>(a)</td><td>Knowledge 2, Application 2, Analysis 1

Knowledge and analysis

3 marks for identifying market structure and relevant features. Points might include:

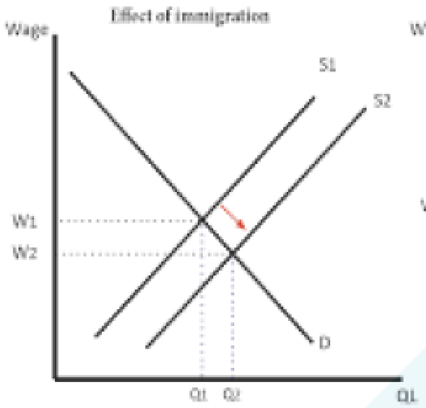
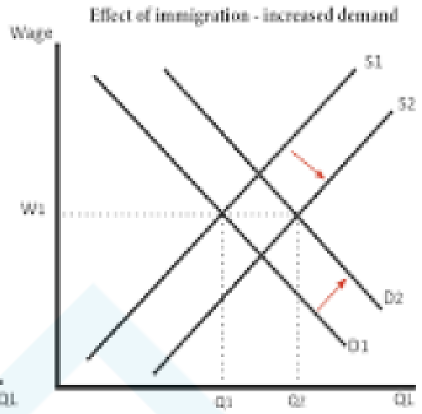
• Monopolistic competition or highly competitive (1)
• Many small sellers in the market (1)
• Low price setting power (1)
• Firms sell differentiated goods (1)
• Normal profit/low profit margins as a sign (1) of low barriers to entry/exit (1)
• Allow up to 2 marks for diagrammatic analysis

Application:
2 marks for data (1+1 or 2): point might include:

• there are many firms 10 000 to 20 000 (1)
• cheap, low skill labour are possibly migrants (1)
• low level of capital required (1)
• everyone paying the same £5 (1)
• some offering inside and out washes (1) / similar car washing at each provider (1)
• Availability of cheap premises make market entry easier (1)</td><td>(5)</td></tr>
</table>

Question Number	Answer	Mark
(b)	**Knowledge 2, Application 2, Analysis 2, Evaluation 2** **Knowledge/ implicit understanding:** (1+1) marks for **two** reasons and explanation e.g. • HCWs are inferior goods if demand rises when incomes fall • HCWs at £5 are a very small percentage of consumer income so they might be seen as essential or basic goods • Other factors affect demand apart from income, for e.g. availability and price of substitutes (automatic car washes [might be normal/luxury good] or car washing equipment), working patterns **Application:** (2 marks for any relevant point, or two points 1 +1). Points might include: • Incomes are not keeping up with inflation so real incomes are falling • HCWs at £5 are a very small percentage of consumer income so they might be seen as essential or basic goods. • Increased demand when people have lower incomes – high level of utility at small expense, Extract A paragraph 2 • Extract B: there is a decrease in the availability of automatic car washes as independent petrol retailers go out of business. • Increased number of sites and rents have fallen (Extract A paragraph 3)	
	Analysis (1 + 1): • Linked development of the two points made • Maybe shown by diagrammatic analysis **Evaluation:** (2 marks for any relevant point, two points 1 +1). Points might include: • Subjective happiness is yielded from an HCW, implying that it is rational to use an HCW/it is not rational as washing the car at home is cheaper when incomes fall • Incomes have not been falling over the whole period, so it is more likely that as incomes rise people are buying a HCW as a YED is low (small percentage of income) • Regional or demographic changes in incomes	**(8)**

Question Number	Indicative content	Mark
(c)	**Knowledge 2, Application 2, Analysis 4** **Knowledge/implicit understanding:** Points might include: • Increased labour supply – workers willing to take low-paid jobs • Arguments also allowed that since the UK left the EU, many workers are leaving – question does not specify immigration or emigration • Increased demand from increased UK population also allowed as an approach **Application:** • Immigrants the main employees at HCWs and similar labour intensive firms (Extract A) • Implication in EU that increased immigration (Extract A paragraph 4) has caused supply to increase and therefore wages half of minimum wage (Ext A last paragraph) • HCW often a first job while the migrant's language improves on arrival in the UK (Ext A) • Following UK leaving the EU many low skilled labour may leave • Workers are not able to migrate as wages are not high enough in sector to be able to migrate to post UK leaving the EU	
	Analysis: • Labour market diagram showing increase in the supply of labour • NMW diagram showing excess supply of labour at the wage floor • Allow decrease in supply, e.g. since the UK leaving the EU • Allow backward bending supply of labour • Allow monopsony diagrams (although not required) • Some segments require more skilled workers and not suit low skilled migrant workers, e.g. valeting • Reference to any industry that relies on migrant workers, e.g. hospitality, nursing, construction **NB if no valid diagram or reference to an industry, then award a maximum of Level 2 KAA**	(8)

	Diagram, shift in demand and/or supply, or minimum wage e.g.  	

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	3–5	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	6–8	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(c) continued	**Evaluation 4** • Impact of UK leaving the EU, Global Health Crisis etc. might put immigration figures into negative, and wages and conditions might improve • Depends on monopsony power • Evidence suggests there is not exploitation, or there is not enough evidence • Some firms are charging a fair wage • Other changes in the pipeline • The size of the changes in migration will dictate the impact on labour market • The ability of workers to move to other sectors/ speed language developed will determine impact on labour market • Within HCW there are sub-markets - some specialise in luxury vehicles - others are mobile operators who visit home - each will be affected differently	**(4)**

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to the context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Question Number	Indicative content	Mark
(d)	**Knowledge 4, Application 4, Analysis 8, Evaluation 9** 16 marks for KAA, for causes of the number of firms in an industry to change. Microeconomic causes may include: • nationalisation • privatisation • contestability • market power • economies of scale – natural monopoly • regulation and deregulation • oligopoly behaviour • barriers to entry e.g. factors linked to demand- tastes- preference for HCW over automatic, income, availability of substitutes- decline in automatics	
	Macroeconomic causes may include: • economic growth – e.g. a growing market means more firms will enter • trade patterns • level of protectionism • government policies e.g. supply side policies • TNCs and FDI • unemployment (especially given recent events) • inflation- if inflation is high, costs rise and if unable to increase prices, then firms may exit the market • Level of environmental protection- adds to the costs and may reduce the number of firms. • Exchange rates - if appreciated - costs to import lower and export higher - exporters may exit the market • Relative poverty high and rising - more demand low costs HCW increasing demand and market size - more firms **NB for a Level 4 response there must be micro and macro cause(s). Foreign direct investment, role of TNCs, or regulation could be seen micro or macroeconomics** **NB for a Level 4 response there must be reference to an industry**	

	9 marks for evaluation – points might include: • Depends on the nature of the business. Another industry could be used as a contrast, e.g. a capital intensive industry • Depends on the LRAC and the minimum efficient scale in the current situation • Changes over time – barriers to entry or exit are likely to change e.g. in the face of new technology in car wash industry or other industry • Exchange rates go up and down so could equally depreciate • Environmental protection may create more demand as it is a more ethical service and not cause the number of firms to fall	**(25)**

Knowledge, application and analysis		
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays ability to apply knowledge in context but will focus on small range of elements. Demonstrates understanding by identifying relevant information. Demonstrates knowledge and understanding of terms, concepts, theories and models.
Level 2	5–8	Shows ability to apply economic ideas and relate them to economic problems in context. Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis.
Level 3	9–12	Analysis is clear and coherent with evidence well integrated, although may focus on some of the broad elements of the question more than others. Shows ability to apply economic ideas and relate them directly to the broad elements in the question.
Level 4	13–16	Analysis is relevant, clear and coherent with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic effects. A clear understanding of economic principles, concepts, theories and arguments.

Evaluation		
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of evaluative comments without explanation.
Level 2	4–6	Evaluative comments with limited explanations. Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.
Level 3	7–9	Evaluative comments supported by relevant reasoning and appropriate reference to the context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Question Number	Indicative content	Mark
(e)	**Knowledge 4, Application 4, Analysis 8, Evaluation 9** 16 marks for KAA, for effects of increased government intervention. Microeconomic effects may include: • Minimum price, living wage enforced, planning issues, tax, health and safety • Rise in wages (if wage floors introduced) will have a large impact on costs. Might be shown on increasing NMW diagram • Effect on price of car washes – consumer surplus falls, output falls, price increases • Impact on quantity of labour/marginal revenue productivity • Impact on productivity • Diagram to show the effect of the intervention approach, e.g. of minimum price as solution to market failure • Price of a car wash might be passed on to higher wages	

	Macroeconomic effects may include: • Income equality improvements – may use Gini coefficient or Lorenz curve • Prices rise – inflationary effects • reduction in levels of poverty • effects on growth – inflexibility in markets can reduce I or FDI • might improve environmental standards • Reduced employment **NB for a Level 4 response there must be micro and macro effect (s). Employment or welfare issues could be seen as micro or macro, for example, can be used as either micro or macroeconomics** **NB for a Level 4 response there must be reference to an industry**	

	9 marks for evaluation – points might include: • Government failure, e.g. regulatory capture, asymmetric information • depends on impact of other events such as UK leaving the EU, high unemployment from recent Global Health Crisis • effect on workforce of employment regulation depends on elasticity for demand for labour, and degree with which it can be replaced with capital • depends on PED of HCW market as a whole • consumers might also have increases in wages • some firms will face decreased demand and go out of business. Loss of jobs and other economic activity • depends on the PED and PES in factor market and product market as a whole • Wash Mark Certificates not government regulation may have more of an impact in improving quality and conditions for workers and reducing pollution than government action	**(25)**

Knowledge, application and analysis		
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays ability to apply knowledge in context but will focus on small range of elements. Demonstrates understanding by identifying relevant information. Demonstrates knowledge and understanding of terms, concepts, theories and models.
Level 2	5–8	Shows ability to apply economic ideas and relate them to economic problems in context. Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis.
Level 3	9–12	Analysis is clear and coherent with evidence well integrated, although may focus on some of the broad elements of the question more than others. Shows ability to apply economic ideas and relate them directly to the broad elements in the question.
Level 4	13–16	Analysis is relevant, clear and coherent with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic effects. A clear understanding of economic principles, concepts, theories and arguments.

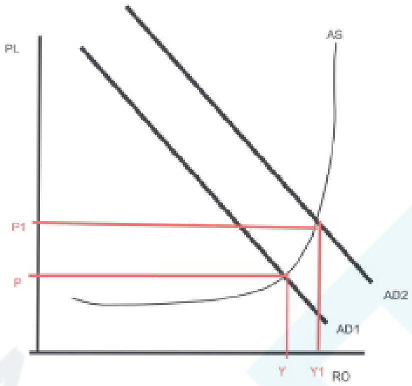
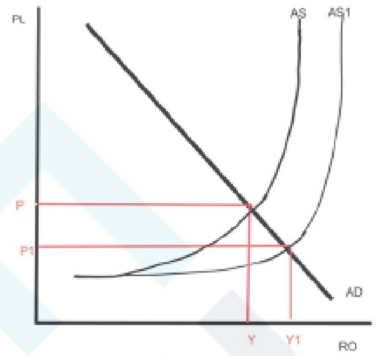
Evaluation		
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of evaluative comments without explanation.
Level 2	4–6	Evaluative comments with limited explanations. Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.
Level 3	7–9	Evaluative comments supported by relevant reasoning and appropriate reference to the context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Q10.

Question Number	Answer	Mark
(a)	D	**(1)**

Question Number	Answer	Mark
(b)	**Application 3, Analysis 1** **Application:** • AD/AS diagram with axes correctly labelled showing initial equilibrium (1) • Shift of curves to show a decrease in AD or an increase in (SR)AS (1) • New equilibrium real national output marked (1) **Analysis:** • A decrease in real incomes will lead to a decrease in consumption, leading to a fall in aggregate demand (1) OR • Firms' production costs will decrease, leading to an increase in (SR)AS. (1)	**(4)**

Q11.

Question Number	Answer	Mark
(a)	**Knowledge 2, Application 2** **Knowledge/understanding:** Accurate diagram with correct labels on axes (1) and lines (1)  **Application:** Correct shift of line(s) (1) showing change in price level and/or real output (1) For example: N.B. Other AS curves are acceptable. Allow outward shift of both AD and AS.	**(4)**

Question Number	Answer	Mark
(b)	**The only correct answer is A** ***B** is not correct because it is not infrastructure* ***C** is not correct because it is spending on salaries, not infrastructure* ***D** is not correct because it is spending on welfare, not infrastructure*	**(1)**

Q12.

Question Number	Answer	Mark
(a)	B	**(1)**

Question Number	Answer	Mark
(b)	**Knowledge 2, Analysis 1, Application 1** **Knowledge/understanding:** 2 marks for identifying how UK inflation is measured by the Consumer Prices Index (CPI); • Inflation rate measures change in average prices in an economy over a year (1) • A representative basket of goods and services used by average households is recorded (1) • A survey of average prices is recorded (1) • Reference to a base year (1) • Reference to Family/Household/Consumer Expenditure Survey (1) **Analysis:** Items are weighted according to proportion of spending on each product (1) **Application:** 1 mark for reference to the chart, e.g. Food and Fuel is dragging inflation downwards For example: A household expenditure survey (1) is completed to decide what goes in to the basket of goods (1). This is used to attach weights to products based on proportion of spending (1). In January 2015 CPI inflation was 0%. (1) **NB: Candidates must refer to weights for the analysis mark.**	**(4)**

Q13.

Question Number	Answer	Mark

(a)	**Knowledge 2, Application 2, Analysis 1**
	
	Knowledge:
	1 mark for identification of a possible reason and 1 mark for its relevance to a fall in the value of the currency.
	
	Possible reasons:
	• Fall in demand for peso (1) with reason (1)
	• Increase in supply of peso (1) with reason (1)
	• Current account balance:
	    ○ Fall in the value of X (1) because export prices have fallen (1)
	    ○ Rise in the value of M (1) because of economic growth (1)
	• Decrease in interest rates (1) in Chile relative to other countries (1)
	• Fall in FDI (1) with reason e.g. reduced foreign investment in Chilean mining (1)
	• Change in hot money flows (1) with reason e.g. speculative selling of peso (1)
	• Rise in value of other countries' exchange rates (1) with a change in relative rates (1)
	• Relatively high inflation in Chile (1) compared to other countries with which it trades (1)	

	Application: 2 marks for data references e.g. • Copper prices have fallen, Fig. 1 (1) e.g. to $5000 (1) • The Chilean peso has decreased in value (1) • Calculation based on data (award a range of answers because the data is given for the whole year) e.g. 0.2 to 0.14 = 30% fall (or similar) (1 + 1) • Inflation 5% in Chile (1)/above 2-4% target (1)/ e.g. because of higher unit labour costs (implied by high truck drivers' wages, Extract B) (1) • Fall in FDI as mining dries up, therefore reduced demand for peso • Application of an exchange rate diagram e.g. with peso on vertical axis with shift (1) **Analysis:** • 1 mark for explanation of the process linking to the cause to the identified change e.g. fall in copper prices means that the value of exports fall because demand is price inelastic (1) or imports rise in value because of economic growth sucking in imports (1) diagram showing shifts in demand or supply of pesos linked to correct explanation (1) **NB only award 1 mark in total for use of a diagram**	**(5)**

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>(b)</td><td>Knowledge 2, Application 2, Analysis 2, Evaluation 2

NB an answer might provide positive externalities as KAA and negative externalities as evaluation

NB do not award effects on copper mining firms, unless an indirect effect.

NB an answer which does not relate both to firms and communities is limited to 5/6 KAA marks.

NB do not award externalities themselves, e.g. pollution, the environment. Award the impact.
Knowledge and Analysis

Knowledge/ implicit understanding of externalities (1) e.g. knowledge that externalities are an effect on third parties, or outside (or not accounted for by) the market mechanism, or the difference between private and social costs or benefits

Firms (in businesses other than mining)
Points showing the impact on firms might include:
farms lacking water because mining companies are using it (1+1)
high demand for energy means that other firms will face high energy costs (1+1)
high exchange rate can cause problems for other exporting firms (1+1)</td><td></td></tr>
</table>

	Communities Points showing the impact on **communities** might include: • problems of water access for households **(1+1)**, • large-scale transport causes noise, air pollution **(1+1)**, • people have to move away to find work (social dislocation) **(1+1)** • impact on employment and incomes as mining declines **(1+1)** • impact on firms that supply the mining sector **(1+1)** Some impacts could be seen as firms and communities, e.g. impact on wider economy of higher wages as firms have to compete with unionised highly paid copper miners for employment. **Application:** • **Externality diagram** illustrating negative or positive impact using marginal analysis (up to 2 marks: 1 mark for correct MSC and MPC drawn, 1 mark for correct equilibrium shown/deadweight loss) • Water has to be pumped 200km (Extract B paragraph 4) which uses fossil fuels/is noisy/ugly/affects tourist areas • Mines are deeper and use more fuel (carbon emissions have impact on climate and therefore on welfare of many) • Desalination plants might affect other firms or consumers (this might be negative or positive)	

	Evaluation (2 marks for any relevant point, two points 1 +1):
	• Positive externalities, e.g.
	  ◦ impact of local multiplier on economy, improved infrastructure affects other industries
	  ◦ Improved wages and working conditions for workers (in businesses other than mining)
	  ◦ The copper mining has already helped to fund improvements in welfare, such as the financial system and pensions
	  ◦ Benefits of higher value of currency, e.g. terms of trade improvement
	• Difficult to know how large the externalities are or who is bearing the cost
	• The benefits might outweigh the costs, e.g. reduction in poverty, improved fiscal powers, strength of financial markets, improved local infrastructure
	• Other standard evaluation points, e.g. Extract B a drought has made the problem more severe, time to acquire environmental impact assessments (Extract B paragraph 5) might not be a reliable indicator
		(8)

Question Number	Indicative content	Mark
(c)	**Knowledge 2, Application 2, Analysis 4** • Link between falling copper prices and falling incomes and government revenue e.g. dramatic loss of government revenue from peak of $11.5 billion • Exposure to risk e.g. high proportion of GDP and exports dependent on copper so this could cause risk of falling incomes • Price volatility e.g. might cause reduced FDI/investment • Impact of declining terms of trade might be used • Successful exports of copper might force up the exchange rate, other 'Dutch disease' issues e.g. impact on non-copper sector • Falling demand for copper might cause peso to fall in value, causing declining terms of trade/cost push inflation • May use diagram to illustrate effects of low PES, PED • Award use of concepts or theories such as Prebisch-Singer, with link to terms of trade and changing world incomes. • Firms may close down e.g. Extract A lines 8-9: award a microeconomics diagram showing shutdown point **NB Do not award any parts of answers which are related to externalities** **A KAA point referring to changes in tax revenues can only be awarded Level 3 if a specific link is made to the source of the tax revenue e.g. – corporation tax or profits of a state-owned enterprise** **For a Level 3 answer there must be reference to dependency rather than just falls in copper prices, and the wider economy rather than just copper mining firms**	**(8)**

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	3–5	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	6–8	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark

(c) continued	**Evaluation 4**
	• Advantages of copper dependency for Chile's economy:
	    ○ Copper dependency is an advantage when copper prices are high e.g. they have been high for a prolonged period, with many advantages
	    ○ Use of data to support this, e.g. $11.5 bn a year tax revenue, or percentage changes in prices Figure 1
	    ○ Low national debt, falling levels of poverty, inward direct investment
	• Other industries thriving e.g. salmon industry
	• Chile's economy 'best run in the region' and has financial strength to overcome copper price changes, relative to other countries who are dependent on primary products e.g. Venezuela
	• The fall in the exchange rate corrects the problem of over dependency
	• Copper prices are far less volatile than 2007-2011
		(4)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to the context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Question Number	Indicative content	Mark
(d)	**Knowledge 4, Application 4, Analysis 8, Evaluation 9** 16 marks for KAA, for effects of policies: Microeconomic effects may include: • fiscal, e.g. 'mildly expansionary policies' such as cutting income tax will increase real wages • monetary e.g. cutting interest rates can reduce the costs of borrowing for individuals and firms. • supply side policies, e.g. privatisation, free trade can make markets more competitive • growth and development strategies e.g. education, debt relief etc. can further alleviate poverty • price controls Macroeconomic effects may include: • Cutting interest rate might cause the peso to further decrease in value, which would cause inflation / increase the value of exports leading to current account improving • Privatisation or other supply side policies can increase international competitiveness **NB for a Level 4 response there must be reference to both economic growth (e.g. rising incomes) and economic development (e.g. longer life expectancy through improved living standards) and a focus on effects for Level 3 and above.** 9 marks for evaluation – might include: • Expansionary fiscal policies might involve an improvement in the redistribution of income • Objectives might conflict, e.g. cutting interest rates can cause inflation or widen inequality, or increased government spending to produce growth might cause inflation (e.g. Phillips Curve) • Policies might conflict, e.g. increasing length of time to gain a permit to reduce externalities can cause a negative supply side impact e.g. by raising production costs for firms.	**(25)**

Knowledge, application and analysis		
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays ability to apply knowledge in context but will focus on small range of elements. Demonstrates understanding by identifying relevant information. Demonstrates knowledge and understanding of terms, concepts, theories and models.
Level 2	5–8	Shows ability to apply economic ideas and relate them to economic problems in context. Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis.
Level 3	9–12	Analysis is clear and coherent with evidence well integrated, although may focus on some of the broad elements of the question more than others. Shows ability to apply economic ideas and relate them directly to the broad elements in the question.
Level 4	13–16	Analysis is relevant, clear and coherent with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic effects. A clear understanding of economic principles, concepts, theories and arguments.

Evaluation		
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of evaluative comments without explanation.
Level 2	4–6	Evaluative comments with limited explanations. Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.
Level 3	7–9	Evaluative comments supported by relevant reasoning and appropriate reference to the context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Question Number	Indicative content	Mark
(e)	**Knowledge 4, Application 4, Analysis 8, Evaluation 9** **This mark scheme is based on an increase in I, but answer can be given from the point of view of a decrease** Up to 16 marks for effects: Microeconomic effects may include: • Effects on workers – higher incomes, more jobs • Effect on firms, e.g. increase in productivity, or for firms that produce capital goods, a change in demand • Increase in demand as consumer and business confidence improves • Improved quality of life as a result of research into and development of products Macroeconomic effects may include: • Shift (increase) in AD, with multiplier effects, increasing real GDP • Shift (increase) in AS increasing capacity e.g. through investment in education (Extract A paragraph 5) (LRAS shift only, may be implicit) • Inflation, if linked to expansionary macroeconomics policies • Balance of payments – e.g. effects of inward FDI: short term improvement on financial account, long term impact on current account Award Keynesian and Classical approaches with equal weight. The opposing viewpoints may be used as evaluation. **NB a Level 4 answer refer to *changes in* investment rather than levels. This may be implicit e.g. through a fall in AD** **NB do not award for impact other than on Chile. Do not award for causes rather than effects.**	
	Up to 9 marks for evaluation points include: • Investment in capital might decrease employment • Investment in human capital e.g. education in Extract A, is hard to measure in terms of effectiveness • Data points to both increases and decreases in investment. Other forms of injection into the circular flow might be more sustainable, e.g. G • Depends if the investment is internal or FDI as to the effects on the balance of payments • Depends on whether there is a demand deficiency (Keynesian viewpoint) or failings in the supply side	**(25)**

Knowledge, application and analysis		
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays ability to apply knowledge in context but will focus on small range of elements. Demonstrates understanding by identifying relevant information. Demonstrates knowledge and understanding of terms, concepts, theories and models.
Level 2	5–8	Shows ability to apply economic ideas and relate them to economic problems in context. Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis.
Level 3	9–12	Analysis is clear and coherent with evidence well integrated, although may focus on some of the broad elements of the question more than others. Shows ability to apply economic ideas and relate them directly to the broad elements in the question.
Level 4	13–16	Analysis is relevant, clear and coherent with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic effects. A clear understanding of economic principles, concepts, theories and arguments.

Evaluation		
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of evaluative comments without explanation.
Level 2	4–6	Evaluative comments with limited explanations. Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.
Level 3	7–9	Evaluative comments supported by relevant reasoning. Evaluation recognises different viewpoints and can be critical of the evidence provided.

Q14.

Question Number	Answer	Mark
(a)	**The only correct answer is C** ***A*** *is not correct because house prices rose in August 2020* ***B*** *is not correct because house prices rose in November 2018* ***D*** *is not correct because house prices rose throughout this time*	**(1)**

Question Number	Answer	Mark
(b)	**Knowledge 2, Application 1, Analysis 1** **Knowledge/understanding (2):** • Reference to wealth effect/houseowners are wealthier (1) • Increase in UK consumption (1) • Mortgage equity withdrawal (1) **Application (1):** A correct reference to the figure E.g. in November 2018 house prices increased by approximately 2% a year **Analysis (1):** Linked development 1 mark for e.g. • Increased consumer confidence • Consumers are less likely to save **Alternative approach based on justified economic rationale:** Allow answers based on people unable to buy and home improvements/saving instead E.g. Reduced consumption (K1) as consumers save more (K1) in order to be able to afford a deposit for a house (An1)	**(4)**

Q15.

Question Number	Answer	Mark
(a)	**The only correct answer is C** **A** is not correct because when government spending is greater than taxation, it represents a budget deficit **B** is not correct because the balance of trade is always in deficit as indicted by negative values **D** is not correct because the value of exports is smaller than the value of imports	**(1)**

Question Number	Answer	Mark
(b)	**Knowledge 1, Application 1, Analysis 1** **Knowledge/understanding:** 1 mark for identifying one likely reason, e.g. • Increasing real incomes (1) • Relatively low productivity (1) • Rising oil/commodity prices (1) • Appreciation of exchange rate (1) • Worsening of quality of UK exports (1) **Application:** 1 mark for reference to the chart, for e.g. • The UKs monthly trade balance was in a deficit of just under £2 billion at the end of 2017 (1) • Value of outflows is greater than value of inflows for the UK (1) **Analysis:** 1 mark for linked development, e.g. • Imports increase as UK consumers have a high marginal propensity to import (1) • Low productivity increases cost per unit: makes exports relatively more expensive, reducing the demand for domestic goods (1) • Higher oil / commodity prices increase the cost of imports as the UK is a net importer of oil and commodities (1) • Rise in the value of the pound makes exports relatively expensive and its imports relatively cheaper (1)	**(3)**

Q16.

Question Number	Answer	Mark
(a)	**Knowledge 2, Application 1, Analysis 1** **Knowledge/understanding (2):** • Investment will increase (1) • Lower interest rates reduce cost of borrowing (1) **Application (1):** A relevant reference to the data, e.g. • In 2020 interest rates fell from 0.75% to 0.1% (1) • In 2020 interest rates fell by 0.65 percentage points (1) **Analysis (1):** Linked development 1 mark for e.g. • Firms are more incentivised to borrow money (1) • Firms feel more confident to invest • Investments financed by borrowing are now more profitable/less risky (1) • Costs of production fall for firms (1) • Fall in return on savings stimulating consumption/sales (1)	**(4)**

Question Number	Answer	Mark
(b)	**The only correct answer is B** ***A*** *is not correct because average house prices would be likely to rise* ***C*** *is not correct because the level of employment would be likely to rise* ***D*** *is not correct because the rate of economic growth would be likely to rise*	**(1)**

Q17.

Question Number	Answer	Mark
(a)	**Knowledge 1, Application 2, Analysis 2** **Knowledge/Understanding:** Identifying data 0.95 & 0.75 (1) **Application:** • Correct percentage change formula (1) • Correct data inputted into formula (1) **Analysis:** Calculation of the percentage change in the exchange rate: 0.75-0.95 / 0.95 X 100 = -21% (2) **N.B. award full marks for correct answer between -21% and -21.1%** **NB If no reference to minus/fall/decrease then maximum 4 marks**	**(5)**

Question Number	Answer	Mark
(b)	**Knowledge 2, Application 2, Analysis 2, Evaluation 2** **Knowledge/understanding:** 2 marks for identification of two factors (1+1), e.g. • falling oil prices • falling commodity prices • changing relative exchange rates • government fiscal tightening • low consumer or business confidence • increase in savings **Analysis:** 2 marks for linked explanation of how these explain the fall in Eurozone inflation (1+1), e.g. • Falling oil prices in the world economy reduce key costs of production such as transportation, reducing prices of many products in the economy **Application:** 2 marks (1+1) for reference to the data/candidates' own knowledge, e.g. • From figure 2, Eurozone inflation 0.1% in 2015 (1) • ECB predicts Eurozone inflation to rise 'by just 1 per cent in 2016' (extract A) (1) • Figure 2 shows disinflation occurring (1) • Inflation fell from just over 3% in 2011 (1) to less than 0.25% in 2015 (1) **Evaluation:** 2 marks for evaluation (1+1 / 2) • Inflation likely to rise in the future, with ECB expecting 1.6% in 2017 • Oil prices are very volatile and could easily rise rapidly due to world events such as instability in the Middle East • Rising GDP in the Eurozone may mean more demand-pull inflation in the future • Depends on extent of fiscal tightening by government • Oil prices a significant cost of production for businesses	**(8)**

Question Number	Indicative content	Mark
(c)	**Knowledge 2, Application 2, Analysis 2,** Likely impacts on the current accounts include: • Reduced demand for Eurozone exports as they appear more expensive when converted into other currencies. • Increased demand for Eurozone imports as they appear cheaper when converted into other currencies.	**(6)**

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no link between causes and consequences.
Level 2	3–4	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	5–6	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are applied appropriately to the broad elements of the question.

Question Number	Indicative content	Mark
(c) continued	**Evaluation 4** • Euro may not have appreciated against all currencies. • Euro may have appreciated against currencies of countries who do not receive many Eurozone exports. • Magnitude discussion • May change in the long term • Marshall-Lerner condition • J-curve effects • Non-price factors may be more important	**(4)**

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/ reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Question Number	Indicative content	Mark
(d)	**Knowledge 2, Application 2, Analysis 4,** ECB QE programme is effective: • Explanation of process of QE • should encourage banks to increase lending and thus hopefully increase consumption/investment • Inflation/GDP may well have been much lower without QE • Confidence of markets would have been much lower without QE • QE programme to be extended for a further 6 months • Lower interest rates encourages consumption/investment, thus increasing AD and therefore inflation • Low government bond yields for Eurozone countries • Depreciation of the Euro affecting X-M NB One side of this argument should count as KAA and the opposing argument as Evaluation	**(8)**

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	3–5	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	6–8	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(d) continued	**Evaluation 4** ECB QE programme isn't effective: • Inflation likely to remain below target into at least 2017 • Low inflation is largely down to factors outside the central bank's control (e.g. oil prices) • Lack of confidence among firms and consumers meaning they are not responding as the ECB would like to the QE programme • Banks are still reluctant to lend money to firms and consumers • Time lags • Extension of QE programme suggests that it hasn't worked • Other policies may be more effective NB One side of this argument should count as KAA and the opposing argument as Evaluation	**(4)**

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Question Number	Indicative content	Mark
(e)	**Knowledge 3, Application 3, Analysis 3** **Potential policies may include:** • Fiscal policies, e.g. reduced corporation tax to increase investment and therefore increase AD • Supply-side policies, e.g. increased investment in education to create a more highly-skilled and therefore more productive workforce N.B. Candidates may discuss more than one of each type of policy N.B. Candidates must discuss both fiscal and supply-side policies for level 3	**(9)**

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	7–9	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(e) continued	**Evaluation 6** Evaluation of the policies, e.g. • Governments in many Eurozone countries are having to focus on reducing national debt and can't afford policies such as tax cuts • Supply-side policies take a long time to have an impact on the economy	**(6)**

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced. Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant chain of reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

EXAM PAPERS PRACTICE

Q18.

Question Number	Answer	Mark
(a)	**Knowledge 1, Application 1, Analysis 1** **Knowledge/understanding** 1 mark for identifying a reason e.g. • Falling unemployment (1) • Rising incomes / economic growth (1) • Lower inflation rates (1) **Application** 1 mark for identifying an **improvement** in consumer confidence (1) or other single use of figures from the chart e.g. a low of -25 in 2012 (1) **Analysis** 1 mark for linked development of reason (1) e.g. economic growth leads to more predictable job security	**(3)**

Question Number	Answer	Mark
(b)	D	**(1)**

Q19.

Question Number	Answer	Mark
(a)	**The only correct answer is A** **B** is not correct because an increase in house prices will lead to wealth effects and not an increase in income **C** is not correct because an increase in house prices will raise consumer confidence and increase consumption **D** is not correct because an increase in house prices will lead to positive wealth effects, which will lead to greater spending by existing homeowners	**(1)**

Question Number	Answer	Mark
(b)	**Application 2** **Application:** • 2015: (200 141/189 709) x 100 = 105.5 or 106 (1) • 2016: (215 127/189 709) x 100 = 113.4 or 113 (1)	**(2)**

Question Number	Answer	Mark
(c)	**Knowledge 1** **Knowledge/understanding:** 1 mark for definition, e.g. • An economic data figure that reflects price/quantity compared with the base year (1) • Shows percentage change (increase or decrease) in price/quantity from the base year (1)	**(1)**

Q20.

Question Number	Answer	Mark
(a)	**Knowledge 1, Analysis 1** **Knowledge/understanding:** Identification of one reason (1), e.g. • Lower interest rates (1) • Increase in consumer confidence (1) **Analysis:** Linked development (1), e.g. • Lower interest rates makes loans more affordable (1) • Higher consumer confidence encourages consumers to borrow believing they can repay in the future (1)	**(2)**

Question Number	Answer	Mark
(b)	**The only correct answer is B** ***A*** *is not correct because this would either not be related or would increase the trade deficit* ***C*** *is not correct because this would be likely to reduce unemployment* ***D*** *is not correct because this would be likely to cause inflation*	**(1)**

Question Number	Answer	Mark
(c)	**Application 2** **Application:** 1 mark for correct appropriate calculation/formula e.g. Base year 2015 = 100 (1) **OR** 4% (1) Answer = **104** Award 2 marks for correct answer	**(2)**